

Kinaxis Inc. (KXS)

Recurring Growth and Better Margins Offset Enterprise Deal Scrutiny

KXS, TSX | Information Technology | Supply-Chain Software

OVERWEIGHT

Price (22 Aug 2024):C\$150.58

Price Target (Dec-25):C\$175.00

INVESTMENT THESIS

Kinaxis Q2 revenue increased 12% to US\$118.3mm, SaaS revenue rose 18% and ARR increased 15% to US\$339mm. Adjusted EBITDA increased 44% and margin expanded to 19%.

Demand for supply-chain orchestration remains durable, but large enterprise buying decisions face more scrutiny and term-license revenue is declining as the model shifts toward SaaS. A 30% increase in committed SaaS backlog provides medium-term visibility.

Our C\$175 December 2025 target applies 38.9x FY25E adjusted EPS of C\$4.50, translating our US\$3.30 estimate at C\$1.36 per US dollar. Recurring growth, net cash and margin expansion support a premium, while deal timing and competition limit upside.

- Q2 total revenue rose 12% to US\$118.3mm, SaaS revenue rose 18% to US\$75.4mm and adjusted EBITDA increased 44% to US\$21.9mm.
- ARR increased 15% to US\$339mm and committed SaaS backlog rose 30%; 2024 revenue guidance is US\$483-US\$495mm.
- Our C\$175 December 2025 target implies 16.2% price upside. Estimated dividends add 0.0%, for approximately 16.2% total return.

COMPANY OVERVIEW

Kinaxis provides concurrent supply-chain planning and orchestration software through its Maestro platform. Large enterprises use the system to connect demand, supply, inventory and scenario planning. Recurring revenue and domain expertise support quality; long sales cycles and competition are key risks.

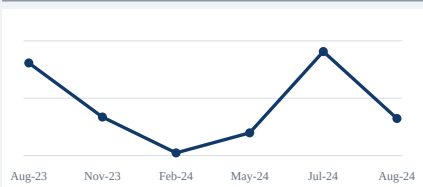
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Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Shares outstanding	28.24mm
Market cap	~C\$4.25bn
52-week range	~C\$129-173
Net cash	Positive
Q2 ARR	US\$339mm
Q2 revenue	US\$118.3mm
2024 revenue guide	US\$483-495mm
Latest results	Q2 2024

KEY ESTIMATES

US\$m unless noted	FY22A	FY23A	FY24E	FY25E
Revenue	366.9	427.0	490	555
SaaS revenue	213.3	265.1	~308	~360
Adjusted EBITDA	79.4	74.9	98	122
Adj. EBITDA margin	21.7%	17.5%	20%	22%
Adj. diluted EPS	1.59	1.60	2.6	3.3

Q2 2024: SAAS GROWTH AND MARGIN EXPANSION

The quarter paired high-teens SaaS growth with a five-point adjusted EBITDA margin improvement. Professional services also grew, while term-license revenue declined as expected. Record Q2 new-customer wins contrasted with longer approval cycles for large deals.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Total revenue	US\$105.8	US\$119.4	US\$118.3	+12%	Solid growth
SaaS revenue	US\$64.1	US\$73.4	US\$75.4	+18%	Recurring engine
Term licenses	US\$7.1	US\$6.7	US\$1.4	-81%	Mix transition
Professional services	US\$30.0	US\$34.4	US\$36.5	+22%	Implementation
Adjusted EBITDA	US\$15.2	US\$22.7	US\$21.9	+44%	Leverage
Adj. EBITDA margin	14%	19%	19%	+5pt	Profitability
ARR	US\$293mm	US\$327mm	US\$339mm	+15%	Visibility

FORECAST AND EARNINGS FRAMEWORK

Our FY24E revenue estimate is near the midpoint of guidance and assumes 16% SaaS growth with a 20% adjusted EBITDA margin. FY25E and FY26E reflect continued recurring growth, slower services and expanding margin as product investment scales.

US\$mm unless noted	FY22A	FY23A	FY24E	FY25E	FY26E
Revenue	366.9	427.0	490	555	625
Revenue growth	46%	16%	15%	13%	13%
SaaS revenue	213.3	265.1	~308	~360	~420
SaaS growth	22%	24%	~16%	~17%	~17%
Adjusted EBITDA	79.4	74.9	98	122	150
Adj. EBITDA margin	21.7%	17.5%	20%	22%	24%
Adjusted diluted EPS	1.59	1.60	2.6	3.3	4.0
ARR	US\$274	US\$322	~US\$365	~US\$425	~US\$490
Net cash	Positive	Positive	Positive	Positive	Positive

BACKLOG HELPS BRIDGE DEAL-TIMING VOLATILITY

Enterprise decisions can slip between quarters, but committed SaaS backlog and ARR provide a better view of contracted demand. Margin improvement should be judged alongside new bookings to ensure profitability is not coming from under-investment.

GROWTH DRIVERS: MAESTRO, RECURRING REVENUE AND OPERATING LEVERAGE

Supply chains remain complex and disruption-prone. Kinaxis can benefit as customers replace disconnected planning tools with concurrent orchestration, provided Maestro proves differentiated and deployments deliver measurable value.

Driver	FY23A	Q2/24	FY25E	FY26E	Investment implication
ARR	US\$322mm	US\$339mm	~US\$425mm	~US\$490mm	Recurring growth
SaaS growth	24%	18%	~17%	~17%	Core engine
Committed backlog	Growing	+30%	Convert	Convert	Visibility
Adj. EBITDA margin	17.5%	19%	22%	24%	Leverage
New customers	Solid	Record Q2	Grow	Grow	Share gains
Net cash	Positive	Positive	Positive	Positive	Optionality

MAESTRO AND PRODUCT DIFFERENTIATION

AI-infused orchestration can improve scenario planning and cross-functional decisions. Product claims must translate into customer ROI and competitive wins.

ENTERPRISE BUYING ENVIRONMENT

Large deals face additional scrutiny and can move between quarters. A strong backlog lowers risk but does not eliminate implementation and renewal variability.

MARGINS AND CAPITAL ALLOCATION

Recurring mix supports operating leverage. Net cash creates flexibility for investment and acquisitions, while discipline is required to protect the quality of growth.

VALUATION AND PRICE TARGET

Our December 2025 target is C\$175. The primary framework applies 38.9x to our FY25E adjusted EPS (C\$) of C\$4.50. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
Forward P/E	50%	38.9x FY25E C\$4.50	C\$175	Recurring software growth
Cash-flow model	30%	9% WACC; 4% terminal g	C\$168	Cash conversion
Peer check	20%	Supply-chain software peers	C\$185	Relative valuation
Weighted target	100%		C\$175	Rounded target

VALUATION SENSITIVITY

FY25E EPS / P-E	30.0x	35.0x	40.0x	45.0x	50.0x
C\$3.82	C\$115	C\$134	C\$153	C\$172	C\$191
C\$4.27	C\$128	C\$150	C\$171	C\$192	C\$214
C\$4.50	C\$135	C\$158	C\$180	C\$202	C\$225
C\$4.73	C\$142	C\$165	C\$189	C\$213	C\$236

At C\$150.58, the shares trade at 33.5x our FY25E adjusted EPS (C\$). The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	Bookings accelerate; margin >24%; premium expands	C\$214
Base	55%	Mid-teens SaaS growth; steady margin expansion	C\$175
Bear	20%	Deal delays persist; growth and multiple compress	C\$119

The probability-weighted scenario value is C\$174. Our C\$175 target implies 16.2% price appreciation and approximately 16.2% total return including estimated dividends through December 2025. We rate KXS Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- Committed backlog converts faster than expected.
- Maestro drives new enterprise wins.
- Adjusted EBITDA margin expands above plan.
- Net cash funds accretive acquisitions.

DOWNSIDE RISKS

- Large enterprise deals continue to slip.
- Competition pressures pricing or win rates.
- Implementation capacity constrains SaaS conversion.
- Margin gains come at the expense of product investment.

METHODOLOGY AND SOURCE NOTES

1. Kinaxis FY2022 and FY2023 results dated 1 March 2023 and 28 February 2024: <https://investors.kinaxis.com/news-releases/news-release-details/2023/Kinaxis-Inc.-Reports-Fourth-Quarter-2022-Results/> and <https://investors.kinaxis.com/news-releases/news-release-details/2024/Kinaxis-Inc.-Reports-Fourth-Quarter-2023-Results/>
2. Kinaxis Q1 and Q2 2024 results and Q2 MD&A dated 8 May and 31 July 2024: <https://investors.kinaxis.com/news-releases/news-release-details/2024/Kinaxis-Inc.-Reports-First-Quarter-2024-Results/default.aspx> and <https://investors.kinaxis.com/news-releases/news-release-details/2024/Kinaxis-Inc.-Reports-Second-Quarter-2024-Results/default.aspx> and https://s25.q4cdn.com/729569956/files/doc_earnings/2024/q2/generic/MDA-Kinaxis-Inc-Q2-2024-Final.pdf
3. Market data: KXS raw TSX close of C\$150.58 on 22 August 2024: <https://query2.finance.yahoo.com/v8/finance/chart/KXS.TO?period1=1692748800&period2=1724371200&interval=1d&events=history>
4. All forecasts, adjusted measures, currency assumptions, scenarios, rating and target are contemporaneous author estimates based only on the dated sources above.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Kinaxis, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.